

If you look at the put option for the same strike price, its last trading price was 0.65. Since this put option has a strike price below the ATM, it has no intrinsic value. The trading price of 0.65 is its time value.

CALLS											PUTS											
	OI	CHNG IN OI	VOLUME	IV	LTP	CHNG	BID QTY	BID	ASK	ASK QTY	STRIKE	BID QTY	BID	ASK	ASK QTY	CHNG	LTP	IV	VOLUME	CHNG IN OI	OI	
✓	2,589	430	10,547	6.51	299.95	-190.05	75	299.30	301.00	150	23,750.00	525	64.15	65.00	75	9.00	64.15	14.16	4,120,300	7,247	16,741	✓
✓	18,710	167	90,997	8.20	265.90	-185.65	75	264.10	265.50	75	23,800.00	75	78.65	79.75	75	16.05	78.95	14.28	10,09,945	381	43,756	✓
✓	6,270	3,041	44,778	8.78	231.10	-177.05	75	230.90	232.50	75	23,850.00	975	95.70	96.85	75	23.30	95.75	14.39	5,38,348	2,916	14,665	✓
✓	21,858	4,767	2,09,540	9.39	201.00	-174.85	975	201.00	201.80	75	23,900.00	600	115.45	116.30	75	32.50	116.15	14.62	10,78,137	-572	46,612	✓
✓	10,959	6,994	1,73,237	9.89	174.00	-165.20	825	173.00	173.20	300	23,950.00	225	139.50	139.75	450	42.00	138.90	14.86	6,29,099	3,530	12,497	✓
✓	69,220	39,902	12,24,658	10.15	147.85	-155.30	75	147.50	147.85	75	24,000.00	150	161.20	161.95	75	51.05	162.95	15.02	19,99,538	21,978	73,912	✓
✓	27,245	22,790	7,69,541	10.47	125.75	-142.05	75	125.40	125.80	75	24,050.00	225	189.30	190.55	75	61.25	189.30	15.18	9,33,162	11,901	18,803	✓
✓	72,721	52,578	16,52,389	10.72	105.80	-132.65	75	104.90	105.15	825	24,100.00	600	220.60	221.30	300	72.30	219.25	15.47	14,20,303	7,215	31,392	✓
✓	35,883	25,678	8,81,996	10.89	87.80	-121.35	150	87.25	87.85	150	24,150.00	75	251.30	252.00	300	85.00	252.00	15.82	5,91,398	7,724	14,079	✓
✓	97,546	49,024	17,49,260	10.99	71.60	-109.80	75	71.60	71.80	75	24,200.00	75	287.40	288.35	150	96.50	285.85	16.11	7,23,535	-7,292	31,832	✓
✓	33,545	19,457	5,84,654	11.17	58.70	-96.85	75	58.55	58.70	225	24,250.00	75	320.90	323.45	75	107.25	321.00	16.37	1,14,170	3,641	7,369	✓
✓	56,875	32,209	9,71,188	11.17	46.25	-85.90	2,100	46.70	46.90	75	24,300.00	150	362.25	363.35	300	120.00	359.25	16.77	1,67,207	3,285	11,422	✓

Image Source: <https://www.nseindia.com/option-chain>

2.3 Put-call Parity

Previously, we discussed that you can profit from buying undervalued options and selling them at a profit. You may be able to do this in case of options mispricing. But how can you identify if this is the case? Here is the put-call parity equation to help us find if the options are deviating from their theoretical value (i.e., mispriced).

Put-call parity equation

Strike price + Call = Future + Put

If this equation undergoes violation for a specific strike price, it may indicate mispricing in the put, the call, or both.

2.4 Options Greeks

A. Delta - Δ

Delta captures the change in an option's premium due to a change in the underlying asset's price.

Option's Delta

Delta (Δ) = (O1 - O2) ÷ (P1 - P2)

Where:

- O1 – Current (new) price of the option
- O2 – Initial price of the option
- P1 – Current price of the underlying
- P2 – Initial price of the underlying